

market purchase or private placement or through stock exchange, but it does not include portfolio investment.

20.7 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 20.1
- 2) See Section 20.1
- 3) See Section 20.1
- 4) See Section 20.2
- 5) See Sub-section 20.3.2
- 6) See Sub-sections 20.3.2 and 20.3.3
- 7) See Sub-section 20.3.5

Check Your Progress 2

- 1) See Sub-section 20.4.1
- 2) See Sub-sections 20.4.4 and 20.4.5
- 3) See Section 20.4
- 4) See Sub-section 20.4.2

Consolidated FDI Policy 2020 effective from 15th October 2020⁷**PROHIBITED SECTORS****Inward FDI to India is prohibited in:**

- a) Lottery Business including Government/private lottery, online lotteries, etc.
- b) Gambling and Betting including casinos etc.
- c) Chit funds
- d) Nidhi company
- e) Trading in Transferable Development Rights (TDRs)
- f) Real Estate Business or Construction of Farmhouses
- g) 'Real estate businesses shall not include development of townships, construction of residential /commercial premises, roads or bridges and Real Estate Investment Trusts (REITs) registered and regulated under the SEBI (REITs) Regulations 2014.
- h) Manufacturing of cigars, cheroots, cigarillos, and cigarettes, of tobacco or of tobacco substitutes.
- i) Activities/sectors not open to private sector investment e.g.(I) Atomic Energy and (II) Railway operations (other than permitted activities mentioned under the consolidated FDI policy).

Foreign technology collaboration in any form including licensing for franchise, trademark, brand name, management contract is also prohibited for Lottery Business, Gambling and Betting activities.

Permitted Sectors**Table: Sector Specific Limits of Foreign Investment in India**

Sector	FDI Cap/Equity	Entry Route
AGRICULTURE		
AGRICULTURE & ANIMAL HUSBANDRY		
Floriculture, Horticulture, and Cultivation of Vegetables & Mushrooms under controlled conditions;	100%	Automatic
Development and Production of seeds and planting material;		
Animal Husbandry (including breeding of dogs), Pisciculture, Aquaculture, Apiculture; and		

⁷ Department for Promotion of Industry and Internal Trade (FDI Division), Ministry of Commerce & Industry, Government of India.

Services related to agro and allied sectors		
Note: Besides the above, FDI is not allowed in any other agricultural sector/activity		
PLANTATION SECTOR		
Tea sector including tea plantations	100%	Automatic
Coffee plantations		
Rubber plantations		
Cardamom plantations		
Palm oil tree plantations		
Olive oil tree plantations		
Note: Besides the above, FDI is not allowed in any other plantation sector/activity Other condition:- Prior approval of the State Government is required in case of any future land use change.		
MINING AND PETROLEUM & NATURAL GAS		
MINING		
Mining and Exploration of metal and non-metal ores including diamond, gold, silver, and precious ores but excluding titanium bearing minerals and its ores; subject to the Mines and Minerals (Development & Regulation) Act, 1957.	100%	Automatic
Coal & Lignite - Coal and Lignite mining for captive consumption by power projects, iron & steel and cement units and other eligible activities permitted under and subject to the provisions of Coal Mines (Special Provisions) Act, 2015 and the Mines and Minerals (Development and Regulation) Act, 1957. - Setting up coal processing plants like washeries subject to the condition that the company shall not do coal mining and shall not sell washed coal or sized coal from its coal processing plants in the open market and shall supply the washed or sized coal to those parties who are supplying raw coal to coal processing plants for washing or sizing. - For sale of coal, coal mining activities including associated processing infrastructure subject to the provisions of Coal Mines (Special Provisions) Act, 2015 and the Mines and Minerals (Development and Regulation) Act, 1957 as amended from time to time and other relevant Acts on the subject.	100%	Automatic

Mining and mineral separation of titanium bearing minerals and ores, its value addition, and integrated activities. Mining and mineral separation of titanium bearing minerals & ores, its value addition, and integrated activities subject to sectoral regulations and the Mines and Minerals (Development and Regulation Act, 1957).	100%	Government
Petroleum & Natural Gas		
Exploration activities of oil and natural gas fields, infrastructure related to marketing of petroleum products and natural gas, marketing of natural gas and petroleum products, petroleum product pipelines, natural gas/pipelines, LNG Regasification infrastructure, market study and formulation and Petroleum refining in the private sector, subject to the existing sectoral policy and regulatory framework in the oil marketing sector and the policy of the Government on private participation in exploration of oil and the discovered fields of national oil companies.	100%	Automatic
Petroleum refining by the Public Sector Undertakings (PSU), without any disinvestment or dilution of domestic equity in the existing PSUs.	49%	Automatic
MANUFACTURING		
Subject to the provisions of the FDI policy, foreign investment in 'manufacturing' sector is under automatic route. Manufacturing activities may be either self-manufacturing by the investee entity or contract manufacturing in India through a legally tenable contract, whether on Principal to Principal or Principal to Agent basis. Further, a manufacturer is permitted to sell its products manufactured in India through wholesale and/or retail, including through e-commerce, without Government approval.	100%	Automatic
Notwithstanding the FDI policy provisions on trading sector, 100% FDI under Government approval route is allowed for retail trading, including through e-commerce, in respect of food products manufactured and/or produced in India.	100%	Government
DEFENCE		

Defence Industry subject to Industrial license under the Industries (Development and Regulation) Act, 1951 and Manufacturing of small arms and ammunition under the Arms Act, 1959 Note: Other Conditions Applicable as notified by the Govt of India	100%	Automatic up to 74% Government route beyond 74% wherever it is likely to result in access to modern technology or for other reasons to be recorded.
SERVICES SECTOR		
BROADCASTING		
Broadcasting Carriage Services	100%	Automatic
Teleports (setting up of up-linking HUBs/ Teleports);		
Direct to Home (DTH);		
Cable Networks (Multi-System operators (MSOs) operating at National or State or District level and undertaking upgradation of networks towards digitalisation and addressability);		
Mobile TV;		
Headend-in-the Sky Broadcasting Service (HITS)		
Cable Networks (Other MSOs not undertaking upgradation of networks towards digitalisation and addressability and Local Cable Operators (LCOs))	100%	Automatic
Note: Infusion of fresh foreign investment, beyond 49% in a company not seeking license/permission from sectoral Ministry, resulting in change in the ownership pattern or transfer of stake by existing investor to new foreign investor, will require Government approval.		
BROADCASTING CONTENT SERVICES		
Terrestrial Broadcasting FM (FM Radio), subject to such terms and conditions, as specified from time to time, by Ministry of Information & Broadcasting, for grant of permission for setting up of FM Radio stations.	49%	Government
Up-linking of ‘News & Current Affairs’ TV Channels	49%	Government

• Uploading/Streaming of News & Current Affairs through Digital Media	26%	Government
• Up-linking of Non- 'News & Current Affairs' TV Channels/ Down-linking of TV Channels	100%	Automatic
PRINT MEDIA		
• Publishing of newspaper and periodicals dealing with news and current affairs	26%	Government
• Publication of Indian editions of foreign magazines dealing with news and current affairs	26%	Government
• Publishing/printing of scientific and technical magazines/specialty journals/ periodicals, subject to compliance with the legal framework as applicable and guidelines issued in this regard from time to time by Ministry of Information and Broadcasting.	100%	Government
• Publication of facsimile edition of foreign newspapers	100%	Government
CIVIL AVIATION		
AIRPORTS		
• Greenfield projects	100%	Automatic
• Existing projects	100%	Automatic
AIR TRANSPORT SERVICES		
(1) (a) Scheduled Air Transport Service*/ Domestic Scheduled Passenger Airline (b) Regional Air Transport Service	100%	Automatic up to 49% (Automatic up to 100% for NRIs) Government route be 49%
(2) Non-Scheduled Air Transport Services	100%	Automatic
(3) Helicopter services/seaplane services requiring DGCA approval	100%	Automatic
OTHER SERVICES UNDER CIVIL AVIATION SECTOR		
(1) Ground Handling Services subject to sectoral regulations and security clearance	100%	Automatic
(2) Maintenance and Repair organisations; flying training institutes; and technical training institutions.	100%	Automatic
CONSTRUCTION DEVELOPMENT: TOWNSHIPS, HOUSING, BUILT-UP INFRASTRUCTURE		

Construction-development projects (which would include development of townships, construction of residential/commercial premises, roads or bridges, hotels, resorts, hospitals, educational institutions, recreational facilities, city and regional level infrastructure, townships)	100%	Automatic
INDUSTRIAL PARKS		
Industrial Parks- new and existing	100%	100% Automatic
SATELLITES- ESTABLISHMENT AND OPERATION		
Satellites- establishment and operation, subject to the sectoral guidelines of Department of Space/ISRO	100%	Government
PRIVATE SECURITY AGENCIES		
Private Security Agencies	74%	Automatic up to 49% Government route beyond 49% and up to 74%
TELECOM SERVICES		
Telecom Services (including Telecom Infrastructure Providers Category-I) All telecom services including Telecom Infrastructure Providers Category-I, viz. Basic, Cellular, United Access Services, Unified License (Access Services), Unified License, National/International Long Distance, Commercial V-Sat, Public Mobile Radio Trunked Services (PMRTS), Global Mobile Personal Communications Services (GMPCS), All types of ISP licenses, Voice Mail/Audiotex/UMS, Resale of IPLC, Mobile Number Portability Services, Infrastructure Provider Category-I (providing dark fibre, right of way, duct space, tower) except Other Service Providers	100%	Automatic up to 49% Government route beyond 49%
TRADING		
Cash & Carry Wholesale Trading/Wholesale Trading (including sourcing from MSEs)	100%	Automatic
E-COMMERCE ACTIVITIES		
E-commerce activities	100%	Automatic
SINGLE BRAND PRODUCT RETAIL TRADING		
Single Brand Product Retail Trading	100%	Automatic

MULTI BRAND RETAIL TRADING		
• Multi Brand Retail Trading	51%	Government
DUTY FREE SHOPS		
Duty Free Shops • Note: Duty Free Shops would mean shops set up in custom bonded area at International Airports/International Seaports and Land Custom Stations where there is transit of international passengers. • Foreign investment in Duty Free Shops is subject to compliance of conditions stipulated under the Customs Act, 1962 and other laws, rules, and regulations. • Duty Free Shop entity shall not engage into any retail trading activity in the Domestic Tariff Area of the country.	100%	Automatic
RAILWAY INFRASTRUCTURE		
Railway Infrastructure • Construction, operation and maintenance of the following: (i) Suburban corridor projects through PPP, (ii) High speed train projects, (iii) Dedicated freight lines, (iv) Rolling stock including train sets, and locomotives/coaches manufacturing and maintenance facilities, (v) Railway Electrification, (vi) Signalling systems, (vii) Freight terminals, (viii) Passenger terminals, (ix) Infrastructure in industrial park pertaining to railway line/sidings including electrified railway lines and connectivity to main railway line and (x) Mass Rapid Transport Systems.	100%	Automatic
Note: i) Foreign Direct Investment in the above mentioned activities open to private sector participation including FDI is subject to sectoral guidelines of Ministry of Railways. ii) Proposals involving FDI beyond 49% in sensitive areas from security point of view, will be brought by the Ministry of Railways before the Cabinet Committee on Security (CCS) for consideration on a case to case basis.		
FINANCIAL SERVICES		
• Foreign investment in other financial services, other than those indicated below, would require prior approval of the Government.		
ASSET RECONSTRUCTION COMPANIES		

• Asset Reconstruction Company' (ARC) means a company registered with the Reserve Bank of India under Section 3 of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act).	100%	Automatic
BANKING- PRIVATE SECTOR		
• Banking- Private Sector	74%	Automatic up to 49% Government route beyond 49% and up to 74%.
BANKING- PUBLIC SECTOR		
• Banking- Public Sector subject to Banking Companies (Acquisition and Transfer of Undertakings) Acts 1970/80. This ceiling (20%) is also applicable to the State Bank of India and its associate Banks.	20%	Government
CREDIT INFORMATION COMPANIES (CIC)		
• Credit Information Companies	100%	Automatic
INFRASTRUCTURE COMPANY IN THE SECURITIES MARKET		
• Infrastructure companies in Securities Markets, namely, stock exchanges, commodity exchanges, depositories and clearing corporations, in compliance with SEBI Regulations	49%	Automatic
INSURANCE		
• Insurance Company	49%	Automatic
• Intermediaries or Insurance Intermediaries including: Insurance brokers, re-insurance brokers, insurance consultants, corporate agents, third party administrator, Surveyors and Loss Assessors and such other entities, as may be notified by the Insurance Regulatory and Development Authority of India from time to time.	100%	Automatic
PENSION SECTOR		
• Pension Sector	49%	Automatic
POWER EXCHANGES		
• Power Exchanges registered under the Central Electricity Regulatory Commission (Power Market) Regulations, 2010.	49%	Automatic
WHITE LABEL ATM OPERATIONS		

• White Label ATM Operations	100%	Automatic
OTHER FINANCIAL SERVICES		
• Financial Services activities regulated by financial sector regulators, viz., RBI, SEBI, IRDA, PFRDA, NHB or any other financial sector regulator as may be notified by the Government of India.	100%	Automatic
PHARMACEUTICALS		
• Greenfield	100%	Automatic
• Brownfield	100%	Automatic up to 74% Government route beyond 74%



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